

Financial Controls and Reporting Policy

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Approved By: Chief Financial Officer, Audit Committee Chair

Classification: Internal - Mandatory Compliance

1. Purpose and Scope

1.1 Purpose

This policy establishes the internal financial controls, reporting standards, and fiscal governance requirements for Meridian Holdings Group ("the Company"). It ensures the accuracy, completeness, and reliability of financial information and the safeguarding of Company assets.

1.2 Scope

This policy applies to:

- All financial transactions and records of the Company and its subsidiaries
 - All employees involved in financial processes including recording, approving, and reporting
 - All departments with budget responsibility
 - All financial systems, tools, and processes
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2. General Financial Principles

2.1 Accuracy and Integrity

- All financial records must accurately reflect the economic substance of transactions
- No false, misleading, or artificial entries may be made in any books or records
- Off-books accounts, undisclosed reserves, or unrecorded funds are strictly prohibited
- All transactions must be supported by appropriate documentation
- Financial records must be maintained in accordance with Generally Accepted Accounting Principles (GAAP) or International Financial Reporting Standards (IFRS) as applicable

2.2 Segregation of Duties

The following duties must be performed by separate individuals:

- a) Authorization of transactions and recording of transactions
- b) Custody of assets and recording of assets
- c) Authorization of payments and execution of payments
- d) Preparation of financial reports and approval of financial reports
- e) User access administration and transaction processing

Where segregation is not feasible due to team size, compensating controls (management review, audit trails) must be documented and approved by the CFO.

2.3 Authorization Limits

Transaction Type	Up to \$5,000	\$5,001-\$25,000	\$25,001-\$100,000	\$100,001-\$500,000	Over \$500,000
Operating expenses	Manager	Director	VP	CFO	CEO + Board
Capital expenditure	Director	VP	CFO	CEO	Board
Contracts	Manager	Director	VP + Legal	CFO + Legal	CEO + Board
Write-offs	Manager	Director + Finance	CFO	CEO	Board
Charitable donations	Director	VP	CFO	CEO + CCO	Board

3. Revenue Recognition

3.1 Revenue Recognition Principles

Revenue must be recognized in accordance with ASC 606 / IFRS 15:

- a) Identify the contract with the customer
- b) Identify the performance obligations in the contract
- c) Determine the transaction price
- d) Allocate the transaction price to the performance obligations
- e) Recognize revenue when (or as) performance obligations are satisfied

3.2 Revenue Controls

- a) All customer contracts must be reviewed by Finance before execution to assess revenue recognition implications
- b) Non-standard contract terms (extended payment terms, contingent fees, right of return) must be approved by the CFO
- c) Revenue adjustments, credits, and write-offs exceeding \$10,000 require CFO approval

- d) Multiple-element arrangements must be reviewed by the Revenue Recognition Committee
- e) Quarter-end revenue cut-off procedures must be performed within 3 business days of quarter close

4. Expense Management

4.1 General Expense Principles

- a) All expenses must serve a legitimate business purpose
- b) Expenses must be properly categorized and coded to the correct cost center and general ledger account
- c) Supporting documentation (receipts, invoices) is required for all expenses exceeding \$25
- d) Expense reports must be submitted within 30 days of incurring the expense
- e) Expenses older than 60 days will not be reimbursed without VP approval

4.2 Travel and Entertainment

Travel and entertainment expenses must comply with the following limits:

Category	Limit
Airfare	Economy class for flights under 6 hours; Business class for flights 6+ hours (with VP approval)
Hotels	Up to **\$300/night** domestic; **\$400/night** international (higher limits require VP approval)
Meals (individual)	Up to **\$75/day** domestic; **\$100/day** international
Client entertainment	Up to **\$150/person** (consistent with Anti-Bribery Policy POL-ABC-002)
Ground transportation	Reasonable and documented; first-class rail permitted for trips over 2 hours
Personal vehicle mileage	IRS standard rate per mile

4.3 Corporate Credit Cards

- a) Corporate credit cards are issued to approved employees based on business need
- b) Cards must only be used for legitimate business expenses
- c) Personal use of corporate credit cards is strictly prohibited
- d) Monthly statements must be reconciled and approved by the cardholder's manager within 15 days
- e) Lost or stolen cards must be reported to Finance within 4 hours
- f) Cards will be deactivated immediately upon employment termination

5. Accounts Payable

5.1 Invoice Processing

- a) All invoices must reference a valid purchase order number
- b) Three-way matching (PO, goods receipt, invoice) is required for all purchases over \$5,000
- c) Invoices must be processed within 10 business days of receipt
- d) Duplicate invoice checks must be performed before payment processing
- e) Vendor master data changes must be verified through a callback to the vendor using independently verified contact information

5.2 Payment Processing

- a) Standard payment terms are Net 45 days unless contractually agreed otherwise
- b) All payments exceeding \$50,000 require dual authorization
- c) Wire transfers exceeding \$100,000 require CFO approval
- d) International wire transfers must comply with sanctions screening requirements
- e) Cash payments are prohibited for amounts exceeding \$500
- f) Checks must require dual signatures for amounts exceeding \$25,000

5.3 Vendor Payment Controls

- a) New vendor banking details must be verified before first payment
- b) Changes to vendor banking details must be verified through independent confirmation
- c) Payments to vendors in sanctioned countries are prohibited without explicit legal clearance
- d) Advance payments to vendors must not exceed 20% of contract value without CFO approval
- e) Recurring payments must be reviewed semi-annually for continued validity

6. Accounts Receivable

6.1 Credit Management

- a) Credit limits must be established for all customers before extending credit
- b) Credit assessments must be conducted for new customers and reviewed annually for existing customers
- c) Credit limits exceeding \$500,000 require CFO approval
- d) Orders exceeding established credit limits must be held until approved by the Credit Manager

6.2 Collections

- a) Aging analysis must be prepared weekly and reviewed by the Finance Director
- b) Past-due accounts must be actively pursued according to the following schedule:
 - 30 days: Courtesy reminder
 - 45 days: Formal demand letter
 - 60 days: Phone contact and payment plan discussion
 - 90 days: Escalation to senior management and potential engagement of collection agency
 - 120 days: Legal review and potential write-off consideration

6.3 Write-Offs

- a) Bad debt write-offs must be approved according to the authorization matrix (Section 2.3)
 - b) All write-offs must be documented with supporting evidence of collection efforts
 - c) Written-off accounts must be monitored for potential recovery
 - d) Total annual write-offs exceeding 1% of annual revenue must be reported to the Audit Committee
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7. Asset Management

7.1 Fixed Asset Controls

- a) All assets with a value exceeding \$5,000 and useful life exceeding 1 year must be capitalized
- b) Asset tags must be affixed to all capitalized assets
- c) Physical inventory of fixed assets must be conducted annually
- d) Discrepancies between the asset register and physical inventory must be investigated and resolved within 30 days
- e) Asset disposals must be approved by the Department Director and Finance
- f) Asset transfers between departments must be documented

7.2 Depreciation

Assets must be depreciated using the straight-line method unless another method is more appropriate:

Asset Category	Useful Life
Buildings	30 years
Leasehold improvements	Shorter of useful life or lease term
Furniture and fixtures	7 years
Computer hardware	3-5 years
Software	3 years

Vehicles	5 years
Machinery and equipment	5-10 years

8. Financial Reporting

8.1 Internal Reporting

- a) Monthly financial statements must be prepared and distributed to senior management within 10 business days of month-end
- b) Quarterly management reports must include variance analysis, cash flow forecasts, and KPI performance
- c) Annual budgets must be prepared by October and approved by the Board by December
- d) Significant variances (over 10% or \$100,000) must be investigated and explained

8.2 External Reporting

- a) Annual financial statements must be audited by an independent external auditor
- b) Quarterly financial results must be reviewed by external auditors
- c) All external financial communications must be approved by the CFO
- d) Earnings guidance and forward-looking statements must be approved by the CEO and General Counsel

8.3 Tax Compliance

- a) All tax returns must be filed accurately and on time in all jurisdictions
 - b) Transfer pricing documentation must be maintained for all intercompany transactions
 - c) Tax positions must be reviewed and approved by the Tax Director
 - d) Material tax issues must be reported to the Audit Committee
 - e) The Company does not engage in aggressive tax avoidance schemes
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9. Internal Audit

9.1 Audit Function

- a) The Internal Audit function reports directly to the Audit Committee
- b) Internal audits are conducted according to an annual risk-based audit plan
- c) All departments and processes are subject to internal audit
- d) Audit findings must be tracked to remediation with agreed timelines

- e) Follow-up audits verify remediation effectiveness

9.2 External Audit

- a) The external auditor is appointed by the Audit Committee
 - b) External audit rotation occurs every 5 years (audit partner rotation every 3 years)
 - c) The external auditor's independence must be maintained - prohibited non-audit services include bookkeeping, financial system design, and management functions
 - d) Management letter findings must be addressed within 90 days
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10. Fraud Prevention and Detection

10.1 Anti-Fraud Controls

- a) Fraud risk assessments are conducted annually as part of the enterprise risk management process
- b) Anonymous reporting mechanisms (hotline, web portal) are available for reporting suspected fraud
- c) All reports of suspected fraud are investigated by Internal Audit
- d) Data analytics tools are used to identify unusual transaction patterns
- e) Background checks are conducted for all employees in financial roles

10.2 Fraud Response

- a) Suspected fraud must be reported immediately to the CFO and Internal Audit
 - b) Investigations are conducted confidentially
 - c) Law enforcement will be engaged for confirmed fraud exceeding \$10,000
 - d) Recovery of losses will be pursued through all available legal means
 - e) Employees involved in fraud will be terminated and reported to relevant authorities
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11. Compliance and Enforcement

11.1 Monitoring

The Finance Department monitors compliance through:

- a) Monthly reconciliations of all balance sheet accounts
- b) Quarterly review of segregation of duties controls
- c) Annual SOX compliance assessment (where applicable)

- d) Continuous monitoring of transaction patterns for anomalies

11.2 Violations

Violations of this policy may result in:

- a) Disciplinary action up to and including termination
- b) Financial liability for unauthorized transactions
- c) Criminal referral for fraudulent activities
- d) Regulatory reporting where required by law

11.3 Policy Review

This policy is reviewed annually by the CFO and approved by the Audit Committee. Emergency amendments may be issued in response to regulatory changes or identified control weaknesses.

Appendix A: Chart of Accounts - See separate document POL-FCR-007-A

Appendix B: Delegation of Authority Matrix - See separate document POL-FCR-007-B

Appendix C: Month-End Close Checklist - See separate document POL-FCR-007-C

Appendix D: Expense Report Form - See separate document POL-FCR-007-D